

*Litigation.* The tendency of Wall Street to go to extremes is illustrated in the opposite direction by its tremendous dislike of litigation. A lawsuit of any significance casts a damper on the securities affected, and the extent of the decline may be out of all proportion to the merits of the case. Developments of this kind may offer real opportunities to the analyst, though of course they are of a specialized nature. The aspect of broadest importance is that of receivership. Since the undervaluations resulting therefrom are almost always confined to bond issues, we shall discuss this subject later in the chapter in connection with senior securities.

*Example:* A rather striking example of the effect of litigation on common-stock values is afforded by the Reading Company case. In 1913 the United States government brought suit to compel separation of the company's railroad and coal properties. The stock market, having its own ideas of consistency, considered this move as a dangerous attack on Reading, despite the fact that the segregation would in itself ordinarily be considered as "bullish." A plan was later agreed upon (in 1921) under which the coal subsidiary's stock was in effect to be distributed pro rata among the Reading Company's common and preferred shareholders. This was hailed in turn as a favorable development, although in fact it constituted a victory for the government against the company.

Some common stockholders, however, objected to the participation of the preferred stock in the coal company "rights." Suit was brought to restrict these rights to the common stock. Amusingly, but not surprisingly, the effect of this move was to depress the price of Reading common. In logic, the common should have advanced, since, if the suit were successful, there would be more value for the junior shares, and, if it failed (as it did), there would be no less value than before. But the stock market reasoned merely that here was some new litigation and hence Reading common should be "let alone."

Situations involving litigation frequently permit the analyst to pursue to advantage his quantitative approach in contrast with the qualitative attitude of security holders in general. Assume that the assets of a bankrupt concern have been turned into cash and there is available for distribution to its bondholders the sum of, say, 50% net. But there is a suit pending, brought by others, to collect a good part of this money. It may be that the action is so far-fetched as to be almost absurd; it may be that it has been defeated in the lower courts, and even on appeal, and that it